

OE-EC804C — Organizational Behavior

Module 4: Organizational Change & Development

Target Audience: MAKAUT B.Tech ECE 8th Semester | Compiled by Biraj Sarkar (CGEC)

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1 Meaning and Nature of Organizational Change

Organizational Change refers to the alteration of organizational structures, operational processes, corporate culture, technologies, or strategic goals in response to internal or external environmental shifts.

Definition of Organizational Change

Organizational Change is any alteration that occurs in the total organization environment (Keith Davis).

1.1 Nature of Change

- **Pervasive & Continuous:** Change is an ongoing reality in corporate life.
- **Systemic:** A change in one department impacts all interconnected sub-systems.
- **Reactive vs. Proactive Change:**
 - *Reactive Change:* Triggered by immediate crisis or market pressure.
 - *Proactive Change:* Anticipatory changes initiated to exploit future opportunities.

1.2 Factors Driving Organizational Change

Force Category	Driving Factors	Examples
External Forces	Globalization, market competition, technological disruption, economic shifts, regulatory changes.	Transition to cloud computing, AI automation, regulatory ESG compliance.
Internal Forces	Leadership shifts, strategic realignments, operational bottlenecks, low employee morale.	Mergers, new CEO vision, enterprise resource planning (ERP) rollout.

2 Resistance to Change and Overcoming Strategies

Resistance to Change is human or structural opposition to alterations in established routines, habits, or power balances.

2.1 Factors Causing Resistance

1. Individual Sources of Resistance:

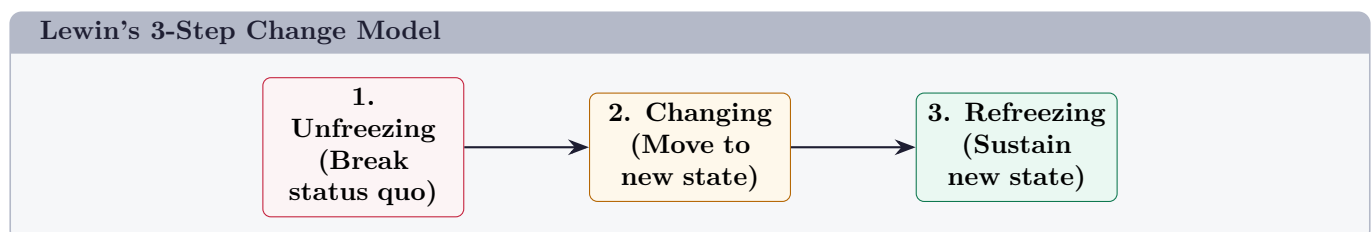
- *Fear of the Unknown*: Anxiety over new skill requirements or job security.
- *Habit*: Preference for familiar operational routines.
- *Economic Insecurity*: Concern over potential salary cuts or demotion.
- *Selective Perception*: Interpreting change information selectively.

2. Organizational Sources of Resistance:

- *Structural Inertia*: Rigid organizational structures designed for stability.
- *Threat to Expertise & Power*: Shifts threatening specialized group influence.

2.2 Lewin's 3-Step Change Model

Kurt Lewin proposed that successful organizational change follows three sequential steps:



1. **Unfreezing**: Disrupting the existing equilibrium by demonstrating the urgency of change and weakening driving forces of resistance.
2. **Changing (Moving)**: Implementing new processes, technology, structures, or behaviors.
3. **Refreezing**: Institutionalizing the new state by reinforcing positive behaviors through rewards, culture, and policies.

2.3 Kotter's 8-Step Leading Change Model

John Kotter proposed an 8-stage strategic framework for executing successful organizational transformations:

1. **Establish Urgency**: Highlight market realities and financial threats to motivate change.
2. **Form a Guiding Coalition**: Assemble a powerful team with position power and expertise to lead change.

3. **Create a Strategic Vision:** Develop a clear vision and strategic initiatives to direct transformation.
4. **Communicate the Vision:** Use all internal channels to communicate the vision and strategy.
5. **Empower Broad-Based Action:** Remove structural barriers and revise systems that undermine change.
6. **Generate Short-Term Wins:** Plan for visible, unambiguous performance improvements.
7. **Sustain Acceleration:** Consolidate gains and produce more change.
8. **Institute Change:** Anchor new behaviors in corporate culture and succession planning.

2.4 Strategies for Overcoming Resistance

- **Education & Communication:** Informing employees about change logic to reduce misinformation.
- **Participation & Involvement:** Involving employees in decision-making to build ownership.
- **Facilitation & Support:** Providing retraining, counseling, and stress management.
- **Negotiation & Agreement:** Offering incentives to powerful resistant groups.

3 Organizational Development (OD): Concept, Process, and Interventions

Definition of Organizational Development (OD)

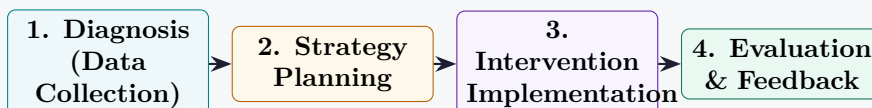
Organizational Development (OD) is a systematic, long-term, top-management-supported effort to improve an organization's vision, empowerment, learning, and problem-solving processes through organizational culture management (Wendell French).

3.1 Core Objectives of OD

- Build high organizational trust, openness, and collaborative problem-solving capacity.
- Align organizational structure and culture with technological and strategic demands.
- Enhance employee satisfaction, motivation, and personal growth.

3.2 The 4-Stage OD Process

The 4-Stage OD Process



3.3 Major OD Interventions

Intervention Type	Description & Operational Focus
Team Building	Structured activities designed to improve interpersonal trust, goal clarity, and team cohesion.
Sensitivity Training (T-Groups)	Unstructured group interaction sessions aimed at increasing self-awareness and interpersonal sensitivity.
Process Consultation	An outside consultant assists managers in perceiving, understanding, and acting upon process events (e.g., meeting dynamics).
Survey Feedback	Systematic collection of data via questionnaires, followed by feedback sessions to diagnose operational issues.

Quick Revision — Module 4

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Key Concepts and Metrics at a Glance

Lewin's Change Model	3-stage process: Unfreezing (break status quo) → Changing (movement) → Refreezing (institutionalization).
Resistance Factors	Individual (fear, habit, economic security) vs. Organizational (structural inertia, threat to power).
OD Definition	Planned, long-term, culture-focused effort to improve organizational effectiveness.
OD Process Stages	Diagnosis → Strategy Planning → Intervention → Evaluation.
OD Interventions	Team Building, Sensitivity Training (T-Groups), Process Consultation, Survey Feedback.

One-Line Definitions for Exam Revision

- **Unfreezing:** Breaking down the existing status quo to prepare individuals for organizational change.
- **Refreezing:** Reinforcing and institutionalizing new behaviors to make change permanent.
- **Process Consultation:** Intervention where a consultant helps managers observe and act upon internal communication and team dynamics.
- **Structural Inertia:** Built-in organizational mechanisms (rules, structure) that act as barriers to change.

Frequently Asked / Viva Questions

1. **Define Organizational Change. Distinguish between Reactive and Proactive change.**
Organizational change is the alteration of structures, processes, or culture. Reactive change is triggered by immediate external pressure; Proactive change is planned in advance to capture opportunities.
2. **Explain Lewin's 3-Step Model of organizational change.**
The model consists of Unfreezing (breaking the status quo), Changing (moving to the new state), and Refreezing (reinforcing and institutionalizing the change).
3. **What are the primary individual causes of resistance to change?**
Fear of the unknown, habit, threat to economic security, anxiety over skill competence, and selective perception.
4. **What are the primary organizational causes of resistance to change?**
Structural inertia, limited focus of change, threat to specialized expertise, and threat to established power relationships.
5. **List four key strategies for overcoming resistance to change.**
Education and communication, employee participation, managerial facilitation and support, and incentive negotiation.

Frequently Asked / Viva Questions (contd.)**6. Define Organizational Development (OD). What are its main objectives?**

OD is a planned, long-term, top-management-driven effort to improve organizational effectiveness through culture management. Objectives: build trust, openness, and problem-solving capacity.

7. What are the 4 stages of the OD process?

Diagnosis (data gathering) → Strategy Planning → Intervention Execution → Evaluation and Feedback.

8. Explain Sensitivity Training (T-Groups) as an OD intervention.

An unstructured group interaction technique designed to increase self-awareness, empathy, and interpersonal communication skills.

9. What is Survey Feedback in OD?

A diagnostic intervention where data is collected from employees via questionnaires, analyzed, and presented back to teams to identify operational problems.

10. Why is Team Building considered a critical OD intervention?

It improves interpersonal trust, role clarity, and communication, transforming individual workers into a cohesive, high-performing team.